

Revision group Answers - PowerPoint

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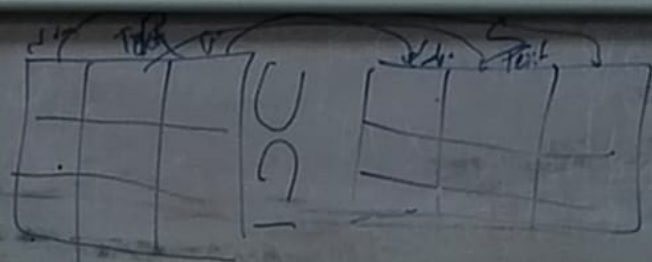
1. According to the principles of Porter's Five Forces, if an industry is characterized by high capital requirements, strong patent protection, and significant government regulation, which force is most directly and immediately neutralized?

- a) Bargaining Power of Buyers
- b) Rivalry Among Existing Competitors
- c) Threat of New Entrants
- d) Threat of Substitutes

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Notes Comments

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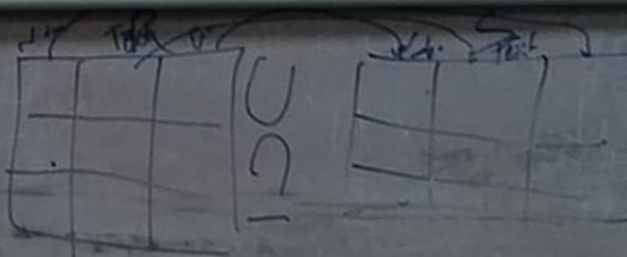


3- What is the primary purpose of Porter's Five Forces Model?

- a) To analyze internal company strengths
- b) To analyze forces affecting an industry
- c) To evaluate financial performance
- d) To assess employee satisfaction

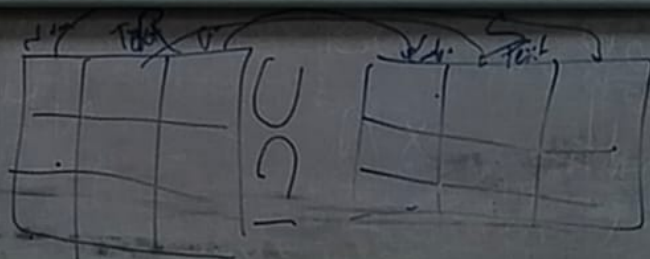
2. If firms in a declining industry (e.g., print newspapers) find it impossible to sell their specialized printing presses and must continue operating despite falling profits, which force is being intensified?

- a) Bargaining Power of Suppliers
- b) Threat of Substitutes
- c) Threat of New Entrants
- d) Rivalry Among Existing Competitors



4- Which of the following is NOT one of Porter's Five Forces?

- a) Threat of new entrants
- b) Bargaining power of suppliers
- c) Threat of advancements
- d) Threat of substitute products

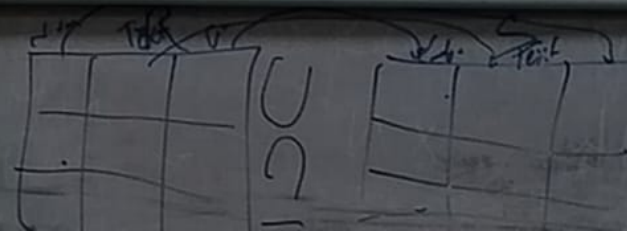


5. In an industry with only two dominant buyers, a supplier is forced to accept lower prices and longer payment terms. This situation is a direct result of:

- a) High threat of new entrants
- b) Strong bargaining power of buyers
- c) Strong bargaining power of suppliers
- d) High threat of substitutes

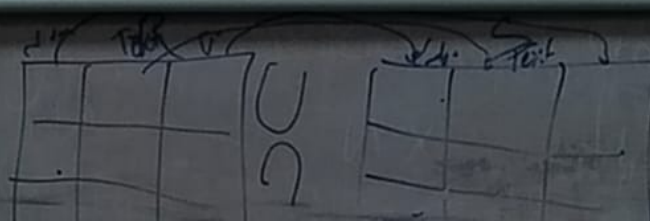
6- Which of the following would indicate a HIGH threat of new entrants?

- a) High amount of capital required
- b) Existing firms hold strong patents
- c) Low amount of capital required
- d) Strict government regulations



8. According to Porter's five forces model, switching from coffee to tea costs:

- a) A significant amount of money
- b) A moderate fee
- c) Nothing
- d) A long-term contract penalty

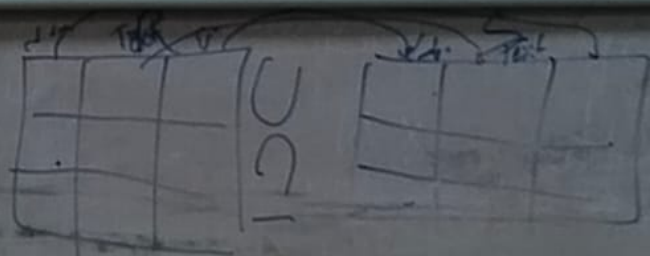


9- When is the threat of new entrants considered high?

- a) When capital requirements are high
- b) When existing firms have strong brand loyalty
- c) When the market is saturated
- d) When government regulations are minimal

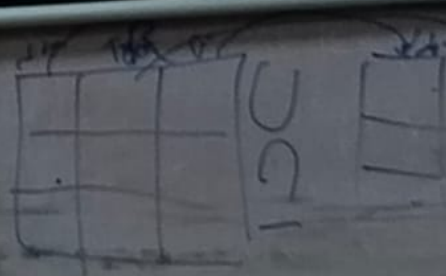
11- What happens to industry profitability when the threat of new entrants is high?

- a) Profitability increases
- b) Profitability decreases
- c) Profitability remains unchanged
- d) Profitability becomes unpredictable



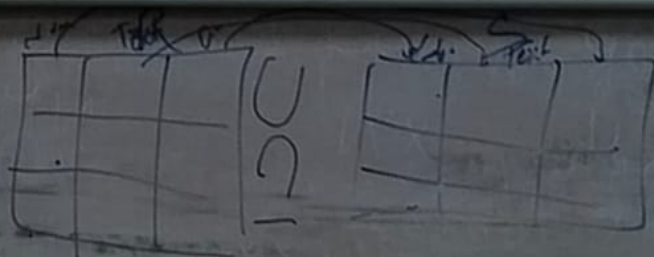
7. Suppliers have strong bargaining power when:

- a) There are many suppliers and few buyers
- b) There are few suppliers but many buyers
- c) Many substitute raw materials exist
- d) Suppliers cannot threaten to forward integrate



16- Who developed the Five Forces model?

- A) Michael E. Porter
- B) Peter Drucker
- C) Henry Mintzberg
- D) Philip Kotler

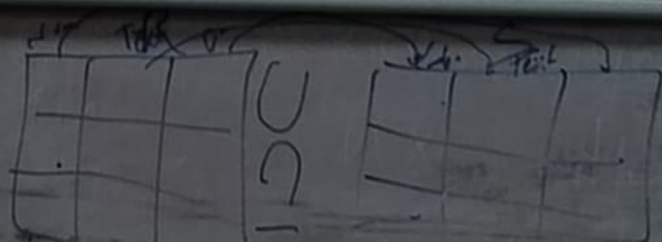


- 13-What is a key indicator of strong bargaining power of suppliers?
- a) Many suppliers in the market
 - b) Low switching costs for buyers
 - c) Buyers have many alternatives
 - d) Suppliers provide unique products

Suppliers	Buyers
New Entrants	Substitutes
Existing Firms	

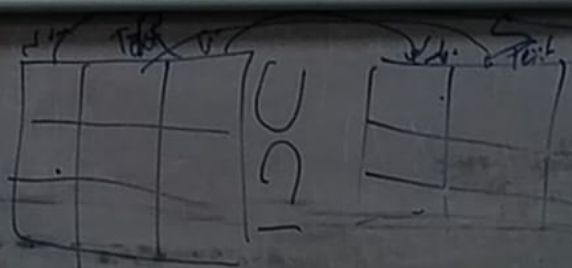
12- Which force determines how easy it is for customers to switch to a competitor's product?

- a) Bargaining power of suppliers
- b) Threat of substitute products
- c) Bargaining power of buyers
- d) Threat of new entrants

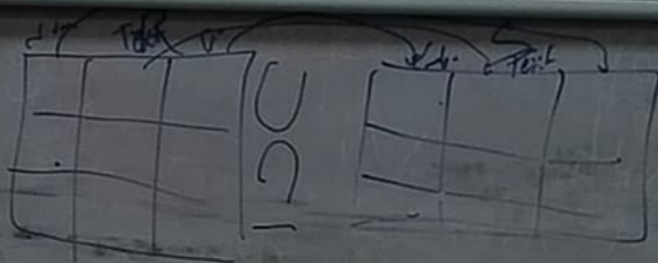


20. Which situation would lead to intense rivalry among competitors?

- a) Products are highly differentiated
- b) Exit barriers are low
- c) There are few competitors
- d) Exit barriers are high

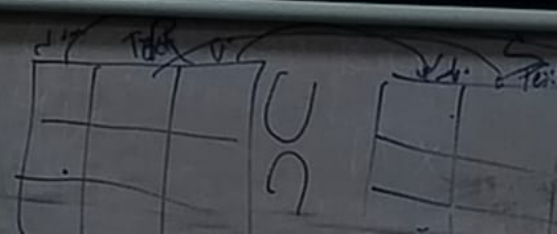


- 17- What is the primary purpose of Porter's Five Forces model?
- A) To analyze a company's internal strengths and weaknesses
 - B) To evaluate the competitive landscape of an industry
 - C) To predict market trends
 - D) To assess customer satisfaction



26- How does a high level of product differentiation affect competitive rivalry?

- A) It increases competitive rivalry
- B) It decreases competitive rivalry
- C) It has no effect on competitive rivalry
- D) It only affects supplier power



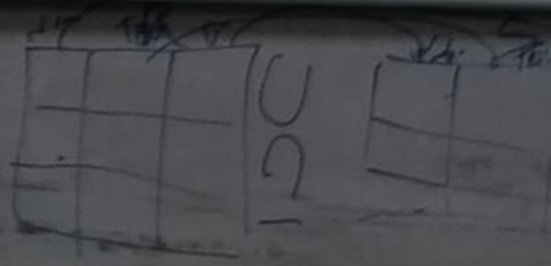
25- What happens when there are many substitutes available in an industry?

- A) Buyer power increases
- B) Buyer power decreases
- C) Supplier power increases
- D) Industry profitability increases

Sub
Poverty

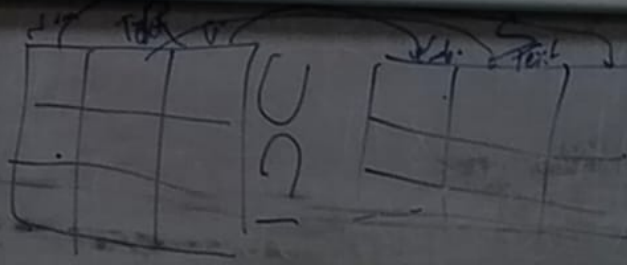
22. When buyers threaten to backward integrate, this means they threaten to:

- a) Sell their company to suppliers
- b) Start producing themselves
- c) Move into a different industry
- d) Reduce their purchase quantities

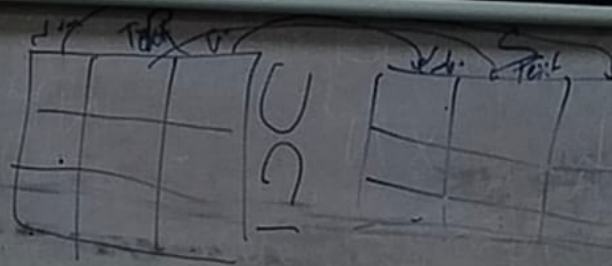


21. If an industry has many competitors of equal size selling undifferentiated products with low customer loyalty, what will likely result?

- a) High industry profits
- b) Low rivalry among competitors
- c) Aggressive competition
- d) Easy exit from the industry

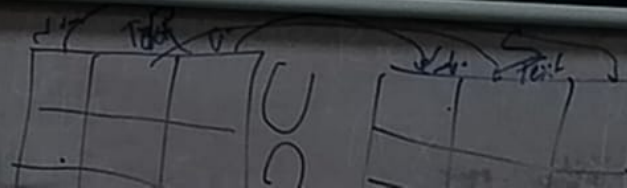


- 33- What happens when suppliers hold scarce resources?
- A) It has no effect on their bargaining power
 - B) It only affects buyers
 - C) Their bargaining power decreases
 - D) Their bargaining power increases



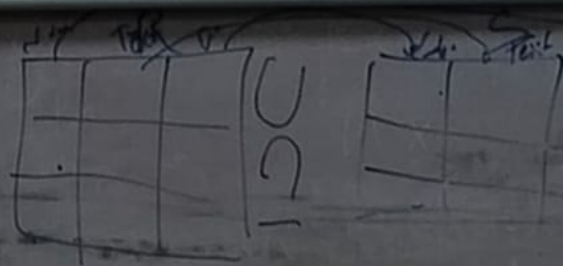
28- In which scenario is the threat of substitutes the lowest?

- A) Many alternative products exist with similar functionality
- B) The substitute products are more affordable and of better quality
- C) Customers prefer a variety of choices
- D) Switching to a substitute is cost-prohibitive



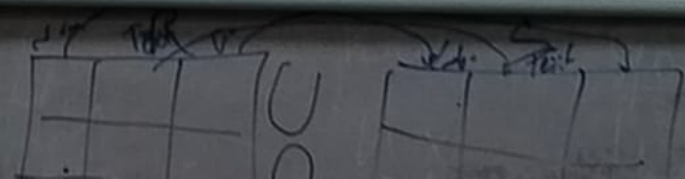
31- When is the threat of substitutes most significant?

- A) When switching costs are high
- B) When switching costs are low
- C) When there are no substitutes available
- D) When buyers are not price-sensitive



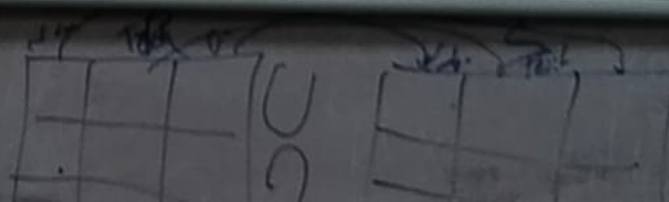
34- How does the threat of backward integration by buyers affect suppliers?

- A) It increases supplier power
- B) It decreases supplier power
- C) It has no effect on supplier power
- D) It only affects buyers



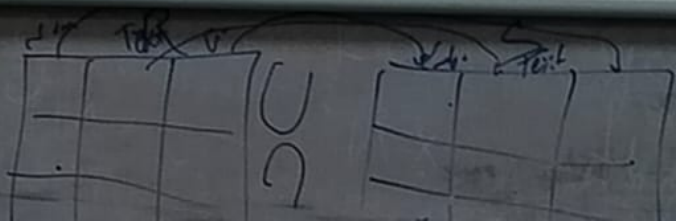
38- How does the availability of substitute inputs affect supplier power?

- A) It has no effect on supplier power
- B) It only affects buyers
- C) It increases supplier power
- D) It decreases supplier power



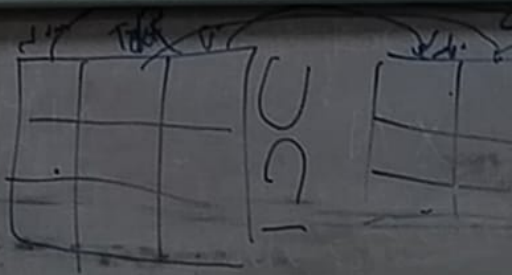
40. If a product has many substitutes available and switching costs are low, the threat of substitutes is:

- a) Low
- b) High
- c) Non-existent
- d) Irrelevant to profitability



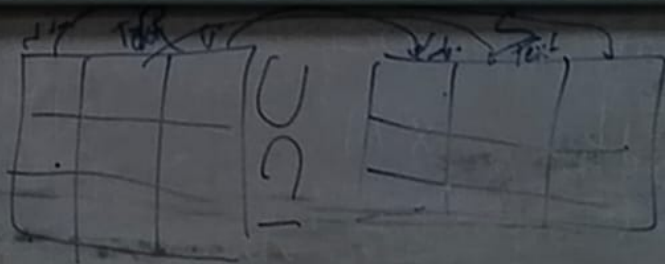
36- What happens when buyers are price-sensitive?

- A) They exert less bargaining power
- B) They exert more bargaining power
- C) It has no effect on their bargaining power
- D) It only affects suppliers



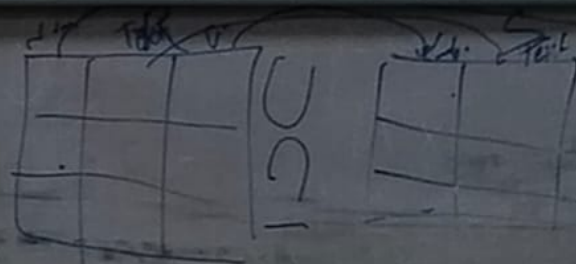
44- Which of the following is NOT a factor that increases buyer bargaining power?

- a) Buyers threaten to backward integrate
- b) Few buyers exist
- c) High switching costs
- d) Buyers are price-sensitive



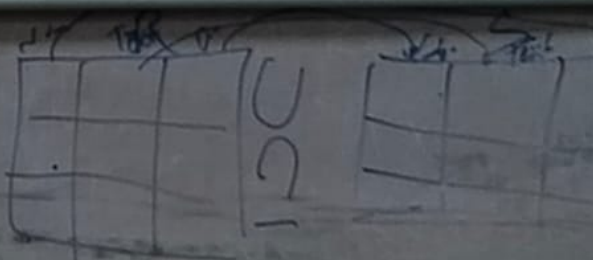
46- What is a key factor that reduces the threat of substitutes?

- a) Low switching costs
- b) High availability of substitutes
- c) Strong customer loyalty
- d) Substitutes with higher prices



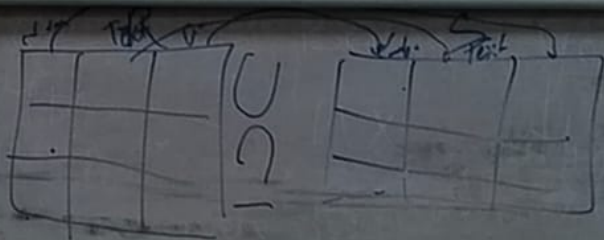
43- What is the primary impact of strong buyer bargaining power?

- a) Producers can charge higher prices
- b) Buyers demand lower prices
- c) Industry profitability increases
- d) Threat of new entrants decreases



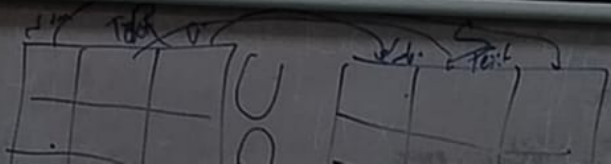
49- What is the impact of high exit barriers on rivalry?

- a) It reduces rivalry
- b) It increases rivalry
- c) It has no effect on rivalry
- d) It decreases buyer power



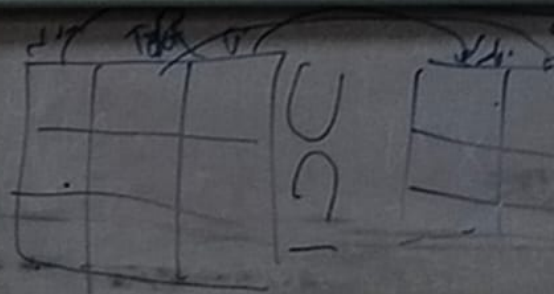
52- Which industry is likely to have a high threat of substitutes?

- A) Airlines with only a few direct alternatives
- B) Beverage industry with many substitute drinks
- C) Pharmaceutical industry with patent-protected drugs
- D) Oil and gas industry with limited energy alternatives

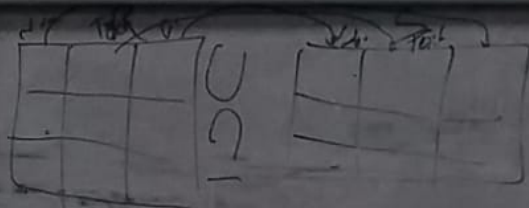


47- When is rivalry among competitors intense?

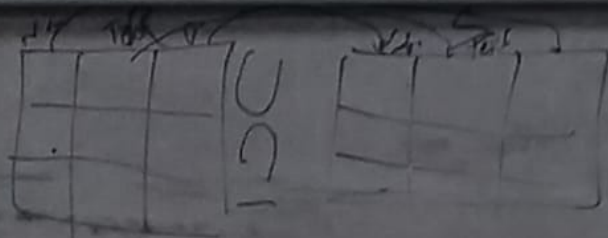
- a) When there are few competitors
- b) When exit barriers are low
- c) When products are highly differentiated
- d) When competitors are of equal size



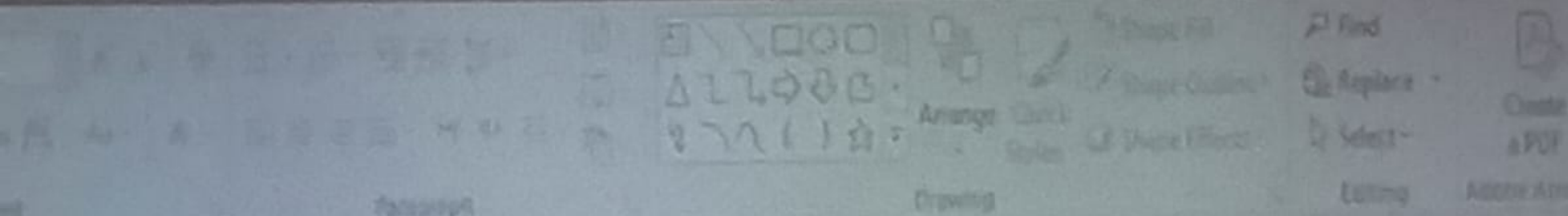
- 11- High product differentiation reduces rivalry among competitors.
- 12- Low customer loyalty increases rivalry among competitors.
- 13- Competitors of equal size reduce rivalry in the industry.
- 14- High exit barriers reduce rivalry among competitors.
- 15- Buyers exert strong bargaining power when they buy in small quantities and have high switching costs.
- 16- Intense rivalry among competitors increases industry profitability.
- 17- High exit barriers reduce competitive rivalry.
- 18- Product differentiation increases competitive rivalry.
- 19- Many substitutes available in an industry decrease industry profitability.
- 20- Porter's Five Forces model is used to analyze macroeconomic factors.
- 21- The bargaining power of suppliers is influenced by the availability of substitute inputs.
- 22- Technological advancements are one of Porter's Five Forces.
- 23- Firms can reduce competitive rivalry by differentiating their products.
- 24- Strong supplier power leads to lower profitability for buyers.
- 25- Suppliers gain more power when buyers have high switching costs.
- 26- The fewer the number of buyers, the weaker their power.



- 27- Strong brand loyalty increases the threat of substitutes.
- 28- The threat of substitutes is low when substitutes are priced higher than the industry's products.
- 29- Producers can reduce the threat of substitutes by increasing product differentiation.
- 30- The threat of substitutes is low when there are many substitutes available.
- 31- High rivalry among competitors increases industry profitability.
- 32- Rivalry is intense when there are few competitors in the market.
- 33- Buyers who purchase in large volumes have higher bargaining power.
- 34- Backward integration by buyers reduces their bargaining power.
- 35- When customer preferences shift toward substitutes, industry competition decreases.
- 36- High exit barriers increase competitive rivalry.
- 37- Firms with strong brand loyalty experience more intense competition.
- 38- High fixed costs encourage firms to compete aggressively.
- 39- Strong supplier bargaining power allows suppliers to charge higher prices.



- 1- High customer loyalty makes an industry more attractive because it directly reduces the intensity of rivalry among existing competitors.
- 2- If a large retailer threatens to start manufacturing its own products (backward integration) unless its current suppliers lower their prices, this would be an example of suppliers losing bargaining power.
- 3- The Five Forces model was developed by Peter Drucker.
- 4- The primary purpose of Porter's Five Forces is to analyze a company's internal strengths and weaknesses.
- 5- A high threat of substitutes increases industry profitability.
- 6- Low barriers to entry increase rivalry and decrease profits in an industry.
- 7- In the Five Forces model, the government is considered a separate, sixth force because its regulations can impact all five of the other forces.
- 8- Government regulations can increase the threat of new entrants.
- 9- Low product differentiation increases rivalry among competitors.
- 10- Intense rivalry among competitors increases industry profitability.



43- Buyers can reduce supplier power by increasing their dependence on a single supplier.

44- Buyers can increase their bargaining power by threatening to backward integrate.

45- Buyers with strong bargaining power can force producers to improve product quality.

- Revision input Answers PowerPoint
- 29- Producers can reduce the threat of substitutes by increasing product differentiation. 30- The threat of substitutes is low when there are many substitutes available.
- 31- High rivalry among competitors increases industry profitability.
- 32- Rivalry is intense when there are few competitors in the market.
- 33- Buyers who purchase in large volumes have higher bargaining power.
- 34- Backward integration by buyers reduces their bargaining power.
- 35- When customer preferences shift toward substitutes, industry competition decreases.
- 36- High exit barriers increase competitive rivalry.
- 37- Firms with strong brand loyalty experience more intense competition.
- 38- High fixed costs encourage firms to compete aggressively.
- 39- Strong supplier bargaining power allows suppliers to charge higher prices.
- 40- The threat of forward integration by suppliers increases their bargaining power.
- 41- Scarce resources held by suppliers decrease their bargaining power.
- 42- Suppliers with low bargaining power can force buyers to accept lower

Date :

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Answer Mcq

ch 2, Part 2

1] d 2] c 4] a 6] c 7] b

10] c 11] c 13] c 14] b 15] c

18] a 20] a 21] c 22] a 24] d

25] d 26] a 29] d

T, F

1] F 2] F 4] F 5] F 7] F

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Answer Mcq

ch 2, Part (1)

1] c

2] d

3] b

4] c

5] b

6] c

7] b

8] c

9] d

11] b

12] c, b

13] d

16] a

17] b

20] d

21] c

22] b

25] a, c

26] b

28] d

31] b, c

33] d

34] b

36] b

38] d

40] b

43] b

44] c

46] c

47] d

49] b

52] b

T or F

1] T

2] T

3] F

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9] T

13] F

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20] F

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27] F

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36] T

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43] F

44] T

45] T